

Dear _____ ,

We came up with this plan because the “traditional path to homeownership” in our current market forces families to settle for significantly less than what is possible.

Jared has been investing in real estate with his family since 2017 (he is a 33% partner in Herriman, Heber, and Ogden) and he is currently serving on the board of the 64 unit investment development in Heber (where he co-owns 4 of the units).

Real estate has proven to be resilient and profitable! We’re ready to apply the lessons we’ve learned from real estate investing to our family home. We’ve spent countless hours analyzing the math for our dream home, and we realized that the best path forward is a highly efficient, 5-year plan to help two families get exactly that.

This document is an introduction to the idea. It outlines the math, the daily logistics, the legal safeguards, and the exact 5-year exit strategy. Read through it, poke holes in the math, and let’s see if we can build something great together.

*Thanks so much!
Jared, Melinda, and Nelson Carter*

P.S. We put this in writing so you can review it completely pressure-free. We know this type of arrangement isn't for everyone, and we totally respect that. Above all, we value our relationship with you and would never want things to feel awkward. If it's a fit, great! If not, no worries at all—we just wanted to extend the invitation with love. :)

The 5-Year Path to Your Dream Home

[Visual Suggestion: A welcoming photo of a premium house with a nice backyard and a basement ADU, with a subtle "5-Year Plan" graphic overlay.]

The path to premium home ownership is achievable today, not years from now. A proven investment strategy eliminates the waiting game and gets families into a premium community now.

By partnering up with us for a focused, 5-year plan on a property with two separate living spaces, we can split the massive upfront costs... but it doesn't stop there. The ultimate goal isn't just to share one property—it is to use that first investment as a springboard to get **both** of **our** families into their own beautiful homes in desirable neighborhoods at the end of five years.

Maximizing Purchasing Power

[Visual Suggestion: A side-by-side graphic. On the left, a basic \$400k entry-level house. On the right, a massive \$800k house with a basement ADU, with a visual indicator showing it is much more than twice the size and quality.]

This works primarily because of one simple truth: House quality does not scale linearly with cost. The cheapest single family homes start at \$375,000. These tend to be the oldest and smallest homes in the highest crime neighborhoods.

If we double our budget, the resulting home is disproportionately better: gaining substantially more than double the quality, square footage, and neighborhood security for only twice the cost.

This is due to unequal demand at the different price points in Utah's market. Utah State Governor Cox said in May 2026, "The truth is only about 9% of renters in this state can afford a house. Most people that own a home right now can't buy that home."

Translation: there is a crazy amount of demand for the oldest, smallest, and therefore cheapest houses. They are incredibly overpriced while larger and newer houses have more sane prices (due to the lower demand).

By pooling resources today, we skip the overpriced "bottom of the barrel" homes entirely and immediately buy into a premium property in a highly desirable neighborhood. When you double your buying power, you get substantially more than double the output!

The Golden Rule of Real Estate: Buy Dirt

[Visual Suggestion: A four-step graphic showing a mobile home (red arrow pointing down), a condo (flat line), a townhome (small green arrow up), and a single-family home on a large green lot (massive green arrow shooting up).]

There is a fundamental truth in real estate: structures depreciate, but land appreciates. Roofs age, paint chips, and appliances break down over time. The physical building is actually a depreciating asset. The true wealth in real estate comes entirely from owning the dirt underneath it.

When you look at housing options through this lens, the math becomes obvious:

- **Mobile Homes:** You own the depreciating structure but rent the dirt. The result? It loses value each year (just like a used car). With no land, you can expect mobile homes to depreciate by around -2% to -5% each year. If you could invest \$375,000 into a mobile home, it would likely result in a net loss between \$36,000 and \$84,800 after 5 years.
- **Townhomes:** You own the specific dirt directly under your walls, but zero surrounding land to drive substantial, long-term value growth. You can expect townhomes to appreciate by about 3.5% to 4% per year. If you were to invest \$375,000 into a townhome, it would likely result in a net gain between \$70,000 and \$81,200 after 5 years.
- **Single-Family Homes:** You own the full structure and the surrounding land that makes up the yard. This is where real appreciation happens. You can expect homes on 0.25 acre lots to appreciate by about 4% to 6% per year. If you were to invest \$375,000 into a single family home, it would likely result in a net gain between \$81,200 and \$126,800 after 5 years.

When you own the maximum amount of actual land, you capture the maximum amount of appreciation. When it comes to building significant, life-changing equity, investing in a single-family home with a real yard is the only financially wise housing investment.

HOAs: Analyzing Non-Recoverable Costs

[Visual Suggestion: A graphic comparing a flat, predictable green line representing a 30-year fixed mortgage against a steep, unpredictably rising red line representing HOA fees over time.]

When comparing townhomes or condos to a single-family home, the Homeowner Association (HOA) fee is often brushed off as just another monthly bill. In reality, it is a massive anchor on wealth and purchasing power.

Here is exactly what an HOA does to an investment:

- **The Buying Power Trap:** Lenders calculate loan approval based on the total monthly payment. At current interest rates, a \$195 monthly HOA fee eliminates roughly \$25,000

to \$30,000 in mortgage borrowing power. Buyers pay the exact same monthly amount out of pocket, but they are buying up to \$30,000 *less* actual property if there is a \$195 monthly HOA fee. Worse, because real estate values compound, missing out on that extra \$30,000 in initial property value means bleeding thousands of dollars in lost future appreciation over time.

- **The Zero-Equity Black Hole:** Every dollar paid to an HOA is a **Non-Equity Cost**. Over a short 5-year timeline, a \$195/mo fee burns \$11,700 in pure cash if it doesn't increase. That is not just a flat loss—it is a compounding one. Because those dollars were thrown into a black hole instead of an appreciating asset, buyers lose the \$11,700 *plus* all of the compounding equity growth that money could have been generating month after month.
- **The Bureaucratic Inefficiency:** When HOA boards manage community funds, they are spending other people's money. As a result, there is little to no incentive to be highly efficient, but there is a massive incentive to spend. Boards routinely approve bloated vendor contracts, hire expensive third-party management companies, and fund unnecessary projects simply to justify their ongoing budgets. This financial dynamic perfectly mirrors other heavily non-incentivized organizations, like government bureaucracies. Because others are largely forced to pay the bills, waste becomes standard operating procedure.
- **The Uncapped Liability:** The most dangerous aspect of an HOA is that the fee is entirely out of your control and nearly always increases (often substantially). While a fixed-rate mortgage locks in your core housing cost for decades, HOA boards continually raise monthly dues to cover neighborhood inflation, skyrocketing master insurance premiums, and sudden "special assessments" for mismanaged community repairs.

By targeting a premium single-family home and avoiding an HOA entirely, we lock in monthly costs, protect cash flow from arbitrary increases, and ensure every single dollar spent is actively building our own wealth.

The 5-Year ROI: A Mathematical Reality Check

[Visual Suggestion: A four-column side-by-side comparison chart. Renting (red downward arrow), Townhome (flat yellow line), Entry SFH (small green arrow), Premium Co-Ownership (large green upward arrow).]

When deciding how to allocate our housing budget over the next five years, it is critical to look past the monthly payment and analyze the actual mathematical return on investment. If our budget allows for a \$375,000 purchasing footprint in a market like Davis County, there are four distinct paths.

Here is the objective financial and lifestyle reality of each option at the end of our exact 5-year timeline:

1. Renting (\$1,850/month)

- **The Reality:** We are paying 100% interest on someone else's mortgage.
- **The 5-Year Impact:** We will spend roughly \$111,000 out of pocket over five years.
- **The Net Result:** Zero equity, zero appreciation, and zero return on investment. We exit Year 5 exactly where we started, but with significantly less cash.

2. Buying a \$375,000 Townhome

- **The Reality:** We step onto the property ladder, but with significant structural handicaps.
- **The 5-Year Impact:** Because townhomes lack a true land footprint, historical appreciation is capped around 3.5%. Over five years, a \$375,000 townhome builds roughly \$70,000 in equity. However, mandatory HOA fees will burn over \$12,000 in non-recoverable cash during that same period.
- **The Net Result:** Sluggish wealth growth heavily suppressed by non-recoverable HOA costs and shared-footprint depreciation.

3. Buying a \$350,000 Single-Family Home

- **The Reality:** We correctly avoid HOAs and buy the dirt, maximizing our appreciation potential, but we severely compromise on location and housing quality.
- **The 5-Year Impact:** At a historical 4.5% appreciation rate, we could build roughly \$85,000 to \$90,000 in equity over five years. However, the low entry price forces us into a lower-tier neighborhood or a distressed property.
- **The Net Result:** We maximize land ownership, but we sacrifice daily peace of mind, neighborhood safety, and our free weekends to constant maintenance and repair budgets.

4. Co-Ownning a \$750,000 Premium Home with an ADU (Our Half-Share = \$375,000)

- **The Reality:** We leverage our combined budget to unlock a premium, turnkey asset in a highly desirable neighborhood.
- **The 5-Year Impact:** By owning a premium single-family home (historically appreciating at 5%+), the property as a whole generates over **\$200,000 in equity** in just five years. Because we split it fairly, our \$375,000 footprint yields over **\$100,000 in pure equity growth per family**. We completely avoid HOA fees, own the dirt, and live in a high-quality environment with total privacy.
- **The Net Result:** By splitting the costs of a premium asset, we mathematically maximize our equity growth, minimize our maintenance liabilities, and guarantee a significantly higher quality of life in a neighborhood where we actually feel safe.

When we remove emotion and look strictly at the 5-year math and the daily living experience, pooling our resources to secure a premium asset is the most efficient, risk-averse way to build a massive launchpad for our families.

Two Homes. One 5-Year Partnership.

[Visual Suggestion: A simple graphic showing two separate houses under one umbrella labeled "The 5-Year Partnership."]

This is not a roommate situation. It is a formal business partnership designed to launch both families forward.

Each family gets its own front door, its own kitchen, and its own completely private living space. The partnership owns the property, we own the partnership, and every month we live there, we are actively building the wealth required for the Year 5 exit strategy.

To ensure this arrangement remains completely stress-free and professional, we proactively eliminate the common friction points among neighbors by establishing clear boundaries and balanced responsibilities from day one.

Balanced Management Responsibilities

A successful partnership requires a perfectly fair division of labor. We eliminate operational anxiety and resentment by formally splitting the property's management into two distinct, equal roles:

- **The Financial Administrator:** One of us handles the books. This role is strictly responsible for the administrative side—ensuring the mortgage, property taxes, master insurance policies, and shared utilities are calculated and paid accurately and on time. They report every action to the other partner.
- **The Property Manager:** One of us handles the physical asset. This role manages the logistics of routine property maintenance, coordinates with outside vendors or contractors for repairs, and ensures the structure and systems remain in pristine condition to protect our equity. They report every action to the other partner.

Harmonious Shared Spaces

While indoor living spaces are entirely private, we share the exterior footprint. To protect everyone's peace of mind and maintain a premium living environment, we mutually agree on a straightforward set of Shared Area Guidelines before legal documents are ever signed.

By proactively putting practical rules on paper for **driveway parking, yard landscaping maintenance, pet etiquette, noise hours, and guest parking**, social ambiguity is removed. We will never have to guess what is expected, and we will never have to have awkward

neighborly conversations. We simply follow the playbook built together, ensuring day-to-day lives run on mutual respect and total predictability.

The Equity Blueprint: Ownership and Growth

[Visual Suggestion: A pie chart showing matching slices turning into a rising bar chart.]

We choose an ownership split from the beginning (like 50/50 or 60/40). That single number locks everything in to keep everything perfectly fair.

If you own 40% of the partnership, you bring 40% of the down payment, you pay 40% of the shared bills, and you get exactly 40% of the property's massive equity when the 5-year plan concludes. Every dollar you put in is directly funding your future home. There is no complicated math or hidden fees.

You're entitled to all of your equity and you don't need to split your investment or growth with anyone.

Gap Funding: The Down Payment Solution

[Visual Suggestion: Two hands shaking or a simple loan document icon.]

If you are ready to start but slightly short on the initial down payment, you don't have to miss out on the opportunity. We can optionally agree to internal Gap Funding.

Instead of jumping through hoops for expensive secondary bank loans, one of us can cover the gap at a simple, fixed rate. It keeps the interest in-house, bypasses bank red tape, and gets both of our families to the starting line today.

The loan payments are secured by the equity which provides a practically guaranteed path to repayment. Internal gap funding is a win-win that ensures both families get to start the 5-year clock today without waiting.

Fair Living Contribution (Rent Equalization)

The main house is inherently more valuable than the ADU. To make the living situation completely fair, a rent appraisal is performed on both spaces.

The difference in rent is compared to the ownership percentage and a "rent equalization payment" is paid each month to make everything fair. The partnership utilizes a professional rent appraisal for both the main house and the ADU. Based on our ownership split, a Fair Living Contribution (or rent equalization payment) is calculated.

This monthly adjustment ensures the total value received from the property (either through living space or cash payment) perfectly matches each partner's precise ownership percentage. The result is a guaranteed, mathematically fair outcome.

Keeping the Plan on Track

Payment Rules and Compliance

[Visual Suggestion: A checklist split down the middle ("Partnership Bills" vs. "Your Bills").]

The rules are black and white so we never argue over money.

- **Partnership Bills:** The mortgage, property taxes, and major property maintenance (like the roof). These are split strictly by the chosen ownership percentages.
- **Your Bills:** Your electricity, your internet, your groceries, and fixing things you accidentally break inside your own house. You pay for your own daily life.

Protecting the 5-Year Goal

[Visual Suggestion: A vault or a locked shield.]

The golden rule of this partnership is that the mortgage must always be paid to protect the 5-year exit strategy and the property itself.

- **The Safety Net:** If a partner faces an emergency and misses a payment, the other partner steps in to cover it. To keep the math perfectly fair, the partner who provided the emergency capital simply receives an increase in their final equity share, ensuring the property is saved and no one loses a single dollar they rightfully invested. This can be proportional (dollar for dollar increase) or weighted (double or triple increase) and is decided before signing.
- **The Ultimate Boundary:** If a partner misses the equivalent of six payments within any 12-month window, they forfeit their remaining equity in the partnership and lose their right to live in the home.

Flawless payments are the absolute key to unlocking the massive rewards at Year 5.

Mutual Protection: Building a Bulletproof Partnership

[Visual Suggestion: A graphic of a shield with a handshake in the center, or two puzzle pieces snapping perfectly together.]

Entering into a 5-year real estate partnership is a significant financial decision. The greatest risk in any joint venture isn't the real estate market—it is unstated expectations. To ensure total alignment and protect both families' investments, we treat this partnership with the utmost professional respect before a single dollar ever changes hands.

A mutual alignment process ensures complete transparency and peace of mind from day one for all of us:

- **Open-Book Financials:** We mutually agree to a full transparency review. By openly sharing credit profiles, income ratios, and asset statements, we prove to each other—and to lenders—that we both have the rock-solid financial foundation required to secure the best possible loan terms and comfortably sustain a premium property.
- **The "Good Neighbor" Agreement:** Beyond the numbers, we sit down to collaboratively document expectations for the property. We will agree on the practical realities of sharing a lot—like yard maintenance, driveway parking, and quiet hours—ensuring every potential friction point is calmly resolved on paper before it ever happens in real life.
- **Airtight Legal Protection:** Once we are completely aligned, a specialized real estate attorney will draft a formal Operating Agreement. This isn't standard boilerplate paperwork; it is a custom document designed specifically to protect **all of our** equity and **our** exit strategy. It legally locks in the ownership percentages, the buyout formulas, and the safety nets so we never have to argue over money.

By treating the partnership with absolute professionalism, we eliminate guesswork and emotion. This ensures that the 5-year journey is built on an unbreakable foundation of mutual trust, shared goals, and legally airtight protection for both families.

The 5-Year Master Plan

[Visual Suggestion: A timeline graphic ending at a 5-year mark with two paths moving forward.]

At the 5-year mark, there will likely be enough equity (around \$300,000) to buy out one of the partners based on their equity position. If so, we execute an exit strategy so both families win:

- If both families want to move, we sell the property and split the massive equity.
- If only one of us wants to stay, the staying partner buys out the leaving partner.
- If both of us want to stay, a drama-free system known as the **Valuation Buyout Protocol** determines the outcome. This protocol guarantees a fair price by forcing one of us to name a dollar amount. The other partner then has the absolute right to **Choose** whether to buy the first partner out at that exact price, or accept that price and be bought out. This mechanism eliminates negotiation and guarantees a fair deal, as the partner

naming the price knows they may be forced to accept it themselves. The buyout cash can be used by the leaving partner to fund a dream home.

The Guaranteed Launch Pad

- **The Co-Sign Guarantee:** If the leaving partner had a perfect payment record, they will also get a significant approval boost from the staying partner co-signing on their new loan. The staying partner will utilize both their personal income *and* the rental income from the now-vacant ADU to help the leaving partner qualify for top-tier financing.
- **The Next Step:** The leaving partner can buy whatever type of home they want with their cash. Ideally, it will be a premium property similar to the one they just moved out of—complete with an ADU of its own to continue the wealth-building cycle.
- **Complete Independence:** After the buyout, either partner can refinance their own home anytime. Five years after the buyout, either partner can choose to unilaterally require both properties to refinance. At that point, both partners have achieved complete independence!

This partnership isn't just about buying a home; it's about building an unbreakable financial foundation that guarantees a better life for both families starting today!

To recap the strategy:

1. **Unlock Premium Real Estate:** Pool money to buy a high-end property that isn't affordable alone.
2. **Live Independently:** Enjoy total privacy while effortlessly building significant equity.
3. **Everyone Wins at Year 5:** Use a built-in exit strategy and co-sign guarantees to ensure both families walk away with incredible homes and financial stability.